

Paycheck Decoder + W-4 Checklist

Financially Sovereign Academy · Module 6: Taxes & Paychecks · Worksheet v0.1 · 2026-07-04

What this is. Your paycheck stub tells a story about where your money goes before you ever see it. This one page helps you read it and review your W-4. Fill it in by hand. Every dollar figure here is an example only; use your own numbers, and verify the current year rules and rates with the IRS or a tax professional before deciding anything.

1. Gross vs net

From Module 6: gross pay is what you earn, net pay is what lands in your account.

- Gross pay this period (example): \$ _____
- Total taken out: \$ _____
- Net pay (what I actually received): \$ _____

2. Where each deduction goes

Fill in the amount for each line on your stub. Names vary by employer.

Deduction	Amount	What it is for
Federal income tax	\$ _____	Federal government
State / local tax	\$ _____	State or city, if any
Social Security	\$ _____	Retirement / disability system
Medicare	\$ _____	Health program
Retirement (401k, etc.)	\$ _____	Your future savings
Health insurance	\$ _____	Your coverage
Other: _____	\$ _____	_____

Note: these are example lines. Rates and limits change every year, so verify current year rules before you rely on any number.

3. The refund trap

A big refund feels like a bonus, but it means you loaned money interest-free all year.

- Did I get a large refund last year? [] Yes [] No [] Not sure
- A big refund is not free money. It is your own money returned later.
- Would I rather have more in each paycheck instead? [] Yes [] No

4. W-4 review steps

Your W-4 tells your employer how much to withhold. Review it after big life changes.

- ☐ Confirm my filing status is current
- ☐ Note any second job or my partner's job
- ☐ Note dependents, if any
- ☐ Check for any extra withholding I set before
- ☐ Use the IRS withholding estimator for the current year if unsure
- ☐ Ask HR how to submit an updated W-4

5. Pressure and trap reminder

From Module 6: withholding is a setting you control, not a fixed rule. Tax rules change yearly, so do not copy an old worksheet without checking.

- One thing on my stub I did not understand: _____

- One question I will ask HR or a tax professional: _____

6. My next 7-day action

One small thing I will do in the next 7 days: _____

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